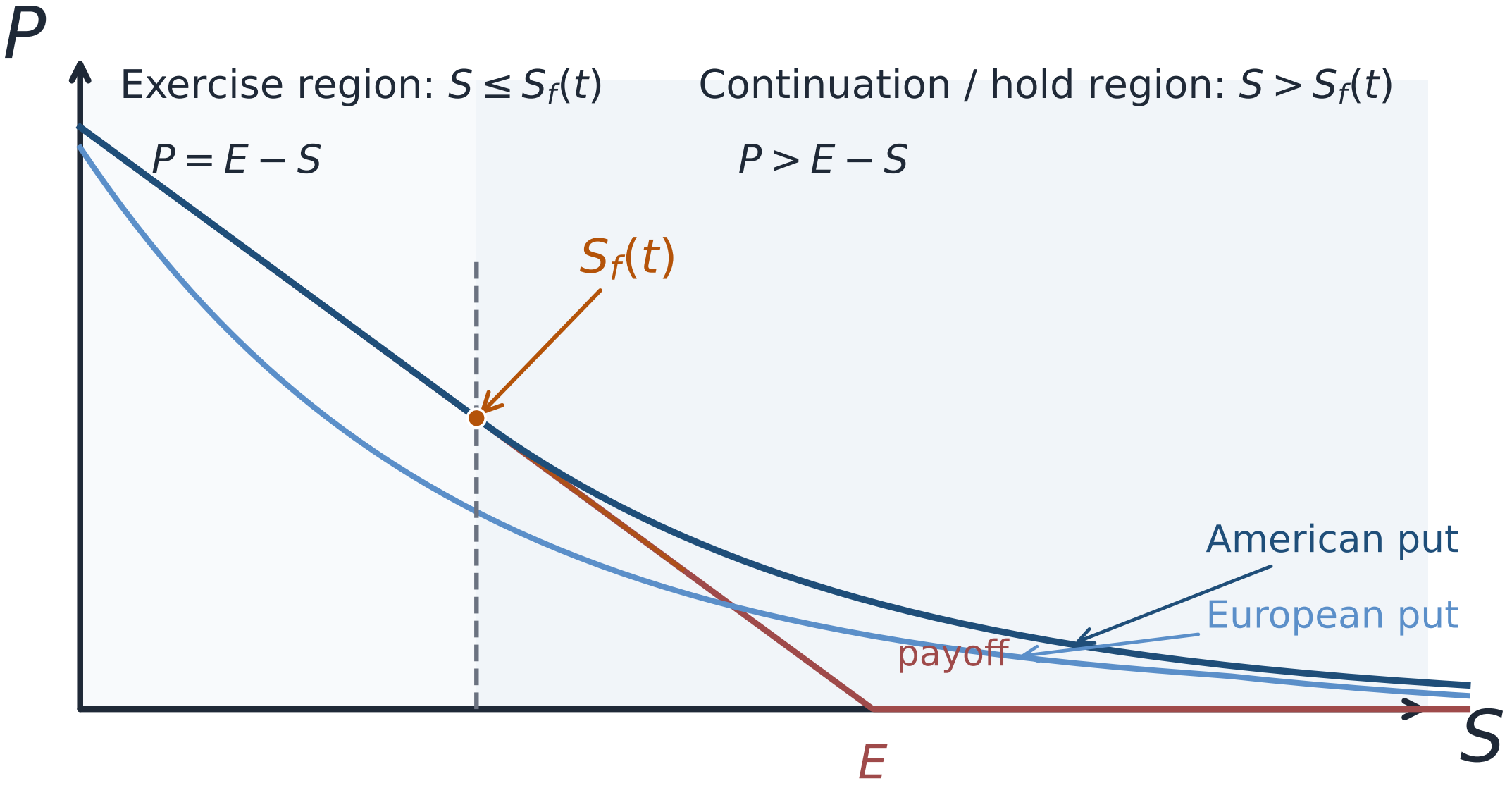
P
Exercise region: $S \le S_f(t)$
Continuation / hold region: $S > S_f(t)$
$P = E - S$
$P > E - S$
$S_f(t)$
American put
European put
payoff
E
S